

APM Project Management Qualification

Learner Study Pack



Procurement

Introduction

This section of the Learner Study Pack will cover the Procurement competence of the APM Project Management Qualification.

This section will enable you to gain an understanding of as the process of securing the provision of resources and choosing strategies for obtaining best value from supply chains.

Learning objective and outcomes

Learning objective:

7. Understand procurement as securing the provision of resources, choosing strategies for obtaining best value from supply chains.

By the end of this activity, you should be able to:

7a) Understand the purpose and importance of a procurement strategy and know the typical contents of a procurement strategy.

7b) Know the stages of a supplier selection process, including how to plan the procurement process and conduct negotiations (for example ZOPA, BATNA and 'Win-Win').

7c) Know the features of different contractual relationships and understand why different methods of supplier reimbursement are used and when it is appropriate to use them (including fixed price, cost plus fee, per unit quantity and target cost).

Study time

This section of the Learner Study Pack will take approximately 3–4 hours to complete.

Recommended resources

In addition to your Learner Study Pack, use the below references for more information on Procurement:

- APM *Body of Knowledge* 7th edition, 2.1.4 (Procurement Strategy); 4.2.1 (Contract Award)
- APM Contracts and Procurement Specific Interest Group (2017) *Guide to Contracts and Procurement*. Princes Risborough: Association for Project Management.
- APM Contracts and Procurement Specific Interest Group 2020, *Procuring for agile projects*. Accessed at: [Procuring agile projects \(apm.org.uk\)](https://www.apm.org.uk/procuring-for-agile-projects)

Overview

Procurement strategy

Before any organisation, whether public or private, decides to invest funds a Project Procurement Strategy must be created to ensure that:

- Budgets are not exceeded.
- The investment provides the return or benefit that was originally intended.
- The investment aligns with the bigger picture strategy of the organisation.

To be useful and therefore successful, a Procurement Strategy must document a process for acquiring goods and/or services, as well as their subsequent management.

It typically includes:

- Make or buy decision.
- Supplier selection, including:
 - Selection process.
 - Decision on use of single, integrated or multiple suppliers.
 - Plan for negotiation.
- Decision on contractual relationship, including:
 - Conditions and forms of contract.
 - Supplier reimbursement terms.

Make or buy decision

One of the first questions in the 'make or buy' decision should be whether the goods or services required can be manufactured or supplied in-house. In addition, the question as to whether they may be procured elsewhere at a better quality or more cost-effectively should also be asked.

This decision should consider:

- The specifications required.
- The capacity, speed and availability of goods/services.
- The required quality aspirations.
- Internal and external stakeholder engagement.

Supplier selection and negotiation

Many organisations will have processes and procedures in place to ensure that supplier selection rules and guidelines are followed. These ensure that any competitive tender process is not only effective, but transparent and fair.

This process would typically involve the following steps:



When attempting to reach an agreement with a supplier, several negotiation techniques can be employed, including:

Best Alternative to a Negotiated Agreement (BATNA)	Zone of Possible Agreement (ZOPA)	'Win-Win'
• This is the best fallback position - so what alternative action will be taken if negotiations don't lead to an agreement. • It is useful to know this for both parties.	• This is the bargaining range where both parties' minimum targets for an acceptable outcome overlap. • Final agreement can take place anywhere within this zone.	• This is a collaborative approach where both parties reach a mutually beneficial agreement. • It involves problem-solving, communication and strong trust-based relationship.

Contractual relationships

Organisations may find themselves involved in a variety of different contractual relationships depending on how many suppliers they have chosen to engage for the project, and how long or short term they want those relationships to be, including:

- **Single contract:** This is the simplest form and is used when a client buys goods and/or services from one supplier. This involves holding one contractual relationship.
- **Parallel contracts:** This is when there are a number of suppliers providing the same, or similar goods and/or services, at one time. This involves holding multiple contractual relationships.
- **Sequential contracts:** This is when one activity is dependent upon the completion of the one immediately prior to it. This involves holding multiple contractual relationships.
- **Prime contracts:** This is when a supplier sub-contracts to other suppliers of specific goods and/or services. This involves holding one contractual relationship.

Supplier reimbursement terms

The final phase of establishing the supplier relationship is deciding on the most appropriate reimbursement, or payment terms.

This decision is usually based on the level of accepted risk and how that is apportioned between the client and the supplier. The level of maturity of the scope development and the understanding of its requirement should also be considered.

The four methods used most commonly are:

- Time and Materials / Unit Price
 - The client pays per unit.
 - Risk of running overtime lies with the client.
 - Suitable when specification is vague, because it allows the scope to evolve over time.
- Cost Plus
 - The client pays actual cost of work plus an agreed amount for supplier overhead and profit.
 - Profit could be a percentage (lower risk for supplier) or a fixed fee (higher risk for supplier).
 - Suitable when an earlier start on site is required and the scope is still being developed. This can be suitable for emergency or urgent works.
- Contract Target Cost / Price
 - Incentivised collaboration, where target cost or price is agreed upfront, and both client and supplier work together to achieve it.
 - Risk is shared between parties at an agreed rate.
 - Suitable where contractual relationships are collaborative and where there are opportunities to incentivise collaborative ideas.

- Fixed Price
 - Price agreed based on an agreed scope of work.
 - Risk of running overtime lies with the supplier.
 - Price may be higher due to higher risk to supplier.
 - Suitable where scope is clearly defined, and a transactional relationship is preferred or tolerated.

Scenario One:

As the Project Manager, you've just come from your first planning meeting with Ayo (the owner of Snappy Appy) and all the other Department Heads.

Ayo is very keen to ensure that the beautiful, historical building that they have acquired as the new Snappy Appy headquarters is fully functional as soon as possible, so this project comes with the highest priority.

A renovation project of this size and nature is a new experience for you, so you've promised yourself that you'll ensure that every detail is planned and that all of your stakeholders are kept up to date with the project's progress.

In the meeting that you've just come from everyone was incredibly enthusiastic and energised by the project but, as they are specialists in their own areas, they don't necessarily know a lot about how procurement works (which will be a key focus of this project).

With that in mind, Ayo has asked that you draft a communication that will be sent to all the senior members of the Snappy Appy team to introduce the process, explain more about how it will potentially work, as well as outlining the various elements of your Project Procurement Strategy.

Ayo has also asked that you consider the different communication preferences of the senior team members as well in line with Snappy Appy's strong sense of inclusion.

In your draft communication, please ensure that you:

- **Give a definition of procurement.**
- **List and explain the five main components of the Project Procurement Strategy.**
- **What you might include in your Project Management Plan.**

Scenario Two:

Now that you have informed all the senior business leaders about your proposed plan for the renovations, the next step is to consider the contractors that you will use to complete the work.

Given that the construction work required will be extensive, there has been a lot of interest from various companies.

What are the factors that you should consider when deciding on the contractual relationships for the project?

Why might experience impact on the number and type of contractual relationships that may be appropriate?

Scenario Three:

The new Snappy Appy headquarters is in quite a small town and news travels fast. This, along with the high level of interest in the project, means that selecting the supplier is going to have to involve a transparent, competitive tender process.

With that in mind, list and describe the five typical stages in the process for selection of a supplier using a competitive tender process.

Scenario Four:

Robin, the Finance Manager, has come to you and they have concerns about ensuring that the various contractors and suppliers for the project are paid.

They've been involved in renovation projects before and in their experience, it is very easy for budgets to get out of control and conflicts happen when payments are late.

Robin would like to be involved and has always been helpful whenever you've asked for their assistance, so you decide to have a meeting where you can both talk through the different options available until you find the reimbursement/payment options that are most appropriate.

In preparation for the meeting, you know that Robin prefers an agenda to be sent to them so that they can read the details that will be covered.

Write a meeting agenda that includes a description of the four main reimbursement and payment methods that could be potentially used during the renovation project.



Learning review questions

Before you attempt the exam practice questions in the next section, we recommend you review your learning to quickly see which aspects you don't understand or can't remember as well.

It will also boost your confidence by confirming what you have learnt and your demonstrated ability to apply that knowledge, so that you are ready to practise for the exam.

Here are some questions you may wish to answer to review your learning from the Procurement Arrangements section:

- The Procurement Strategy is likely to have a significant impact on the project's success and the outcomes achieved:
- What impacts can you foresee based on the Procurement Strategy that you've suggested for Snappy Appy?
- Given the nature of the building that Snappy Appy have acquired, what could be some of the additional considerations that may be important to keep in mind when looking for suitable contractors to complete the construction work?

Exam practice questions

5.1 You are setting up a supply chain for a manufacturing project.

Which statement describes a purpose of the procurement strategy?
(1 mark)

- a. To carefully manage stakeholders.
- b. To analyse and define the overall project financial risk.
- c. To ensure compliance with trade regulations.
- d. To eliminate the need for quality assurance.

5.2 At which stage in a supplier selection process would you shortlist the suppliers who will receive the Invitation To Tender (ITT)?
(1 mark)

- a. Pre-qualification.
- b. Bid/tender evaluation.
- c. Requirements definition.
- d. Market research.

5.3 A key reason for entering into a joint venture with a supplier is:
(1 mark)

- a. To pass on the development costs to the supplier in return for them receiving a fee.
- b. To protect the intellectual property of your organisation.
- c. To develop a longer term collaborative relationship and deliver mutual benefits.
- d. To use penalties and bonuses to motivate supplier performance.

5.4 What are two factors that should be considered when determining a project's procurement strategy?
(1 mark)

Why should these two factors be considered?
(4 marks)

5.5 You are a project manager overseeing the implementation of a new software system for your organisation. During the project, you need to establish the ZOPA prior to the renegotiation of a key element of the contract with the design company.

What does ZOPA (the Zone of Possible Agreement) mean, and what would it be regarding the below values?
(2 marks)

Software Suppliers Price = £1m-£1.4m
Project Software Budget = £900k-£1.2m

5.6 List two different methods of supplier reimbursement you could select for a defined scope of work.
(2 marks)

Exam practice answers

Question	Answer / Mark scheme
5.1	C
5.2	A
5.3	C
5.4	1 mark for stating two factors from the list below. No marks are awarded for just one factor given. • Make or buy decision • Use of single, integrated or multiple suppliers • Conditions and forms of contract • Methods of supplier reimbursement • Types of contractual relationships • Supplier selection process 2 marks should be awarded for each description of a factor, 4 marks available in total: • Make or buy decision - considering: ○ The skills/resources ○ The requirements of the project ○ The budget available • Use of single, integrated or multiple suppliers - considering: ○ The strategic relationship/value ○ The risk ○ The operating model • Conditions and forms of contract - considering: ○ The type of contracts ○ Laws to comply with ○ Company/industry standards • Methods of supplier reimbursement - considering: ○ Pricing models (e.g. upfront, time & materials) ○ Incentive/performance ○ Budget available • Types of contractual relationships - considering: ○ Type of contractual arrangements ○ Direct vs sub-contract arrangements • Supplier selection process - considering: ○ Types of selection process ○ The steps/stages of a particular process
5.5	1 mark for the meaning of ZOPA: • The ZOPA (The Zone of Possible Agreement) is the difference between the project maximum and the supplier's minimum. 1 mark for stating any of the below: • It is between £1m-1.2m. • It is the overlap between the project maximum and the supplier's minimum. • It is what you can afford vs what the item/service costs.
5.6	1 mark for each correct answer, a total of 2 marks available, for example: • Fixed price • Target cost / Target price • Cost plus fee / Cost plus • Price per quantity • Lump sum